

Bonds Convertible into Other Bonds. Some bonds are convertible into other bonds. The usual case is that of a short-term issue, the holder of which is given the right to exchange into a long-term bond of the same company. Frequently the long-term bond is deposited as collateral security for the note. (For example, Interborough Rapid Transit Company 7s, due 1932, were secured by deposit of \$1,736 of the same company's First and Refunding 5s, due 1966, for each \$1,000 note, and they were also convertible into the deposited collateral, the final rate being \$1,000 of 5s for \$900 of 7% notes.) The holder thus has an option either to demand repayment at an early date or to make a long-term commitment in the enterprise. In practice, this amounts merely to the chance of a moderate profit at or before maturity, in the event that the company prospers, or interest rates fall, or both.

Unlike the case of a bond convertible into a preferred stock, there is usually a *reduction* in the coupon rate when a short-term note is converted into a long-term bond. The reason is that short-term notes are ordinarily issued when interest rates, either in general or for the specific company, are regarded as abnormally high, so that the company is unwilling to incur so steep a rate for a long-term bond. It is thus expected that, when normal conditions return, long-term bonds can be floated at a much lower rate; and hence the right to exchange the note for a long-term bond, even on a basis involving some reduction in income, may prove to be valuable.¹⁰

Convertible Bonds with an Original Market Value in Excess of Par. One of the extraordinary developments of the 1928–1929 financial pyrotech-

Philadelphia but later dropped its suit (see 135 *Chronicle* 4383, 4559; 136 *Chronicle* 326, 1011).

¹⁰ See the following issues taken from the 1920–1921 period: Shawinigan Water and Power Company 7½% Gold Notes, issued in 1920 and due in 1926, convertible into First and Refunding 6s, Series B, due 1950, which were pledged as security; San Joaquin Light and Power Corporation Convertible Collateral Trust 8s, issued in 1920 and due in 1935, convertible into the pledged Series C First and Refunding 6s, due 1950; Great Western Power Company of California Convertible Gold 8s, issued in 1920 and due in 1930, convertible into pledged First and Refunding 7s, Series B, due in 1950.

Another type of bond-for-bond conversion is represented by Dawson Railway and Coal 5s, due 1951, which are convertible into El Paso and Southwestern Railroad Company First 5s, due 1965 (the parent company, which in turn is a subsidiary of the Southern Pacific). Such examples are rare and do not invite generalization.